

**OAKWOOD GLEN ASSOCIATION POLICY REGARDING
BOARD MEMBER CONFLICTS OF INTEREST**

STATE OF TEXAS §
 §
COUNTY OF HARRIS §

WHEREAS, Oakwood Glen Association (the "Association"), a Texas nonprofit corporation, is the governing entity for the Oakwood Glen, Section One and Section Two subdivisions, additions in Harris County, Texas, as shown on the plats thereof filed of record in the Map Records of Harris County, Texas under Clerk's File No. E226607 as to Section One and F238938 and M117861 as to Section Two (the "Subdivision"); and

WHEREAS, the Board of Directors (the "Board") of the Association desires to enact a policy to provide guidelines with respect to potential conflicts of interest of Board Members;

NOW, THEREFORE, the Association, acting through its Board, hereby adopts and establishes the following policy regarding Board Member conflicts of interest:

I. Conflicts of Interest

1. Board Members should seek to avoid conflicts of interest: circumstances in which the personal, professional, financial, or other interests of a Board Member may potentially or actually diverge from, or may be reasonably perceived as potentially or actually diverging from, his or her obligations to the Association and the interests of the Association. They include indirect conflicts, such as benefits to an immediate family member of a Board Member.
2. A Board Member:
 - a. must promptly disclose any conflict of interest to all other Board Members and should anticipate the possibility of a conflict of interest whenever possible so that the possible conflict can be reviewed by all other Board Members prior to occurrence.
 - b. cooperate with all other Board Members to manage, reduce, or eliminate the conflict of interest.
3. When a Board Member is not initially aware of the conflict of interest but becomes aware of it at a later time, the Board Member should disclose the conflict of interest promptly upon learning of it.

II. Association Contracts

The Association may enter into an enforceable contract with a current Board Member, a person related to a current Board Member within the third degree by consanguinity or

RP-2016-302394

affinity as determined under Chapter 573 of the Texas Government Code, a company in which a current Board Member has a financial interest in at least fifty-one percent (51%) of the profits, or a company in which a person related to a current Board Member within the third degree by consanguinity or affinity has a financial interest in at least fifty-one percent (51%) of profits only if the following conditions are satisfied:

1. The Board Member, relative, or company bids on the proposed contract and the Association has received at least two other bids for the contract from persons not associated with the Board Member, relative, or company. If the collection of two other bids on the proposed contract proves to be unreasonable due to unavailability of competing services near the Oakwood Glen subdivisions, this requirement is waived.
2. The Board Member:
 - a. is not given access to the other bids;
 - b. does not participate in any Board discussion regarding the contract; and
 - c. does not vote on the award of the contract.
3. The material facts regarding the relationship or interest with respect to the proposed contract are disclosed to or known by the Board and the Board, in good faith and with ordinary care, authorizes the contract by an affirmative vote of the majority of the Board Members who do not have an interest governed by this subsection.
4. The Board certifies that all requirements of Section II of this Policy have been satisfied by a resolution approved by an affirmative vote of the majority of the Board Members who do not have an interest.

III. Competition

Board Members must not engage, directly or indirectly, in activities that are in competition with the Association or appropriate or divert business opportunities of the Association.

IV. Gifts

1. Board Members must not accept any gift or favor, even of nominal value, that is illegal under the laws of the State of Texas.
2. Board Members must not accept any gift or loan (other than an arm's length loan made in the ordinary course of business from a banking or other financial institution), even when not illegal under the laws of the State of Texas, from any person or entity seeking a benefit from the Association, if the offer or acceptance of the gift, favor, or loan could reasonably be viewed as intended to influence the Association to act favorably toward the person or entity. If it is impracticable for a Board Member (or

ACKNOWLEDGEMENT

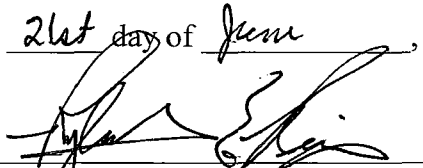
STATE OF TEXAS

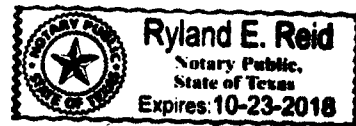
COUNTY OF HARRIS

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BEFORE ME, the undersigned authority, on this day personally appeared Thomas Harris, the Board President of Oakwood Glen Association and known by me to be the person whose name is subscribed to the foregoing document and, being by me first duly sworn, declared that he/she is the person who signed the foregoing document in his/her representative capacity and that the statements contained therein are true and correct.

Given under my hand and seal of office this the 21st day of June, 2016.


Notary Public, State of Texas



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RP-2016-302394

RP-2016-302394

Pages 4

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e-Filed & e-Recorded in the
Official Public Records of
HARRIS COUNTY

STAN STANART

COUNTY CLERK

Fees \$24.00

RECORDERS MEMORANDUM

This instrument was received and recorded electronically and any blackouts, additions or changes were present at the time the instrument was filed and recorded.

Any provision herein which restricts the sale, rental, or use of the described real property because of color or race is invalid and unenforceable under federal law.

THE STATE OF TEXAS
COUNTY OF HARRIS

I hereby certify that this instrument was FILED in File Number Sequence on the date and at the time stamped hereon by me; and was duly RECORDED in the Official Public Records of Real Property of Harris County, Texas.



Stan Stanart

COUNTY CLERK
HARRIS COUNTY, TEXAS